

MLC Real Return Assertive

31 October 2023

Investment objective

The portfolio aims to deliver a return of 4.5% above inflation (after management costs), subject to limiting the risk of negative returns over 7-year periods.

Features	Information
APIR code	MLC0667AU
Inception date	December 2005
Minimum suggested investment time frame	7 - 10 years
Benchmark	Composite benchmark
Income distribution frequency	Half yearly Half yearly (last Sunday of December and 30 June)
Fund size	\$560.02m

Estimated ongoing annual fees and costs as at 30/11/2023 ¹	
Estimated management fee	0.95% pa
Estimated indirect costs	0.06% pa
Estimated net transaction costs	0.05% pa
Estimated performance fee	0.03% pa
Total estimated management cost	1.09% pa

Performance ²

	3 mths %	6 mths %	1 year %	3 years % pa	5 years % pa
Total return	-3.32	-1.93	5.07	4.87	4.65
Benchmark	2.31	4.29	10.10	9.93	8.24

Performance data provided by FE fundinfo.

Investment strategy

The portfolio invests significantly in assets that cannot easily be sold. And it may be significantly geared (it is allowed to invest up to \$1,000 for every \$1,000 you invest). The combination of these facts means that from time to time may suspend your ability to put money into, or take money out of the portfolio.

Quarter highlights

Key contributors to performance for the quarter ended 30 September 2023 are:

- In another volatile quarter, there were negative returns in share markets and all maturity bonds. The exposure to insurance-related investments (+4.3%) and opportunistic growth strategy / specialty finance (+2.2%) within Alternatives, generated strong positive returns that helped cushion the negative returns.
- The exposure to short maturity bonds, corporate bonds and inflation-linked bonds also contributed positively to performance. The short maturity strategy returned +1.3%, global high yield strategy returned +1.4% and the inflation-linked bond strategy returned +1.0%.

Note: Returns for the asset classes above are before fees and tax.

Performance relative to benchmark

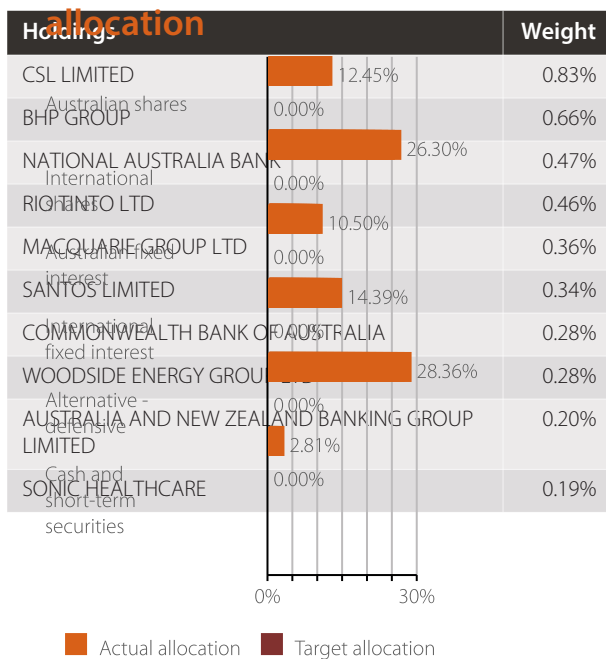
The portfolio's objective is to deliver a return of 4.5% pa above inflation (after management costs), subject to limiting the risk of negative returns over 7 year periods. Generating returns above inflation requires the portfolio to invest at least partly in risk assets such as shares. As a result there will be times when the portfolio doesn't deliver its return objective, and the portfolio may fall in value. However, we aim for the portfolio to have less than a 15% chance of a negative return over a 7 year period. To control the risk of negative returns we flexibly adjust the portfolio's asset allocation, investing in a combination of assets that provide an attractive potential return for the risk taken.

Over the 7 years to 30 September 2023 the portfolio has underperformed its objective by 2.4% pa due to our positioning to protect the portfolio from negative returns.

Manager weightings

Asset class	Investment manager/s strategy	Manager style/strategy description	Asset allocation %
Australian shares	MLC Defensive Australian Shares		12.45
International shares	Arrowstreet Capital		13.10
International shares	Walter Scott & Partners		13.20
Infrastructure	Macquarie Investment Management		3.25
Private Equity	MLC Global Private Equity		1.93
Alternative - defensive	MLC Multi Asset Real Return		6.60
Alternative - defensive	MLC Insurance-Related Investments		4.29
Alternative - defensive	MLC Derivatives		14.53
Alternative - defensive	MLC Opportunistic Growth Strategy		2.94
Australian fixed interest	Janus Henderson Investors		2.04
Australian fixed interest	Metrics Credit Partners		0.54
Australian fixed interest	Antares Fixed Income		7.92
International fixed interest	MLC Opportunistic Growth Strategy		5.87
International fixed interest	Wellington Management		0.75
International fixed interest	Western Asset Management		0.96
International fixed interest	Bentham		1.25
International fixed interest	Stone Harbor		0.80
International fixed interest	Muzinich & Co		1.02
International fixed interest	Oaktree Capital Management		1.26
International fixed interest	Shenkman Capital Management		1.98
International fixed interest	TCW Asset Management		0.49
Cash and short-term securities	Cash		2.81

Top holdings in Australian shares³



Top holdings - International shares

Holdings	Weight
ISHARES CHINA CNY BOND UCITS ETF	2.88%
MICROSOFT CORP	1.21%
APPLE INC	0.61%
ALPHABET INC-CL C	0.55%
SODEXO LOYALTY SHARE UNTRADEABLE LINE	0.44%
META PLATFORMS INC	0.44%
MASTERCARD INC CLASS A	0.44%
ADOBE INC	0.41%
CISCO SYSTEMS INC	0.40%
TJX COMPANIES INC NEW	0.39%

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Notes to the trust profile

- 1 The total estimated ongoing annual fees and costs includes the management fee, indirect costs, net transaction costs and any performance fees (shown if applicable). These costs are subject to change from time to time and may vary depending on changes to the composition of the underlying assets, changes in exposure to underlying investment managers and where any unusual or non-recurrent expenses are incurred. Please refer to the latest PDS and www.ioof.com.au for full details on fees and costs.

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